SECRECY AND PROOF: NAVIGATING THE EVIDENTIARY GAP IN INTERNATIONAL TRADE SECRET ARBITRATION

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ABSTRACT

Trade secret disputes present international arbitration with a structural paradox: the confidentiality that makes arbitration an attractive forum for trade secret holders simultaneously constrains the evidence-gathering necessary to prove misappropriation. This paper examines the layered evidentiary framework governing such disputes, analyzing how the Federal Arbitration Act, the AAA Employment Rules, the IBA Rules on the Taking of Evidence, and the New York Convention interact to create a system that provides procedural protection in theory but limited evidentiary access in practice. Drawing on vacatur case law, this paper demonstrates that existing frameworks establish only a floor of procedural fairness, leaving a significant evidentiary gap that claimants cannot close through existing legal mechanisms alone. To address this gap, this paper proposes a four-part evidence strategy framework anchored in precise trade secret identification, targeted document requests, tiered access controls, and proactive deployment of the IBA Rules. The analysis concludes that while the structural tension inherent in trade secret arbitration cannot be eliminated, it can be navigated through deliberate, targeted evidence strategy rather than maximalist discovery demands.

I. Introduction

Imagine the following scenario: a co-founder of a technology company resigns and joins an overseas startup, reappearing three months later as a direct competitor, and that startup has launched a product strikingly similar to the original company's core technology. Could a startup genuinely achieve this in such a short time without misappropriation? When the original company moves to seek accountability, it discovers that the employment agreement signed with the departing co-founder contains an arbitration clause. That clause not only incorporates AAA Employment Rules[1], but further contractually restricts discovery to what is "absolutely necessary for a fair proceeding," a threshold considerably higher than the AAA's own default standard.

This gives rise to a structural paradox. The core technology clearly constitutes a valuable trade secret, and its value lies precisely in its confidentiality, which is why arbitration, with its greater privacy protections, appears to be the more appropriate forum. Yet proving misappropriation requires evidence, and that evidence sits in the hands of the opposing party. The very feature that makes arbitration attractive, its limited discovery, is what makes obtaining that evidence so difficult. This is the structural tension at the heart of trade secret disputes in international arbitration.

This paper argues that existing frameworks, namely the Federal Arbitration Act[2], the IBA Rules on the Taking of Evidence[3], and the New York Convention[4], establish a floor of procedural fairness but leave a significant evidentiary gap that parties must bridge through deliberate, targeted evidence strategy rather than maximalist discovery demands.

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[1] Am. Arbitration Ass'n, Employment Arbitration Rules and Mediation Procedures (2009) [hereinafter AAA Employment Rules].
[2] Federal Arbitration Act, 9 U.S.C. §§ 1–16 (2018).
[3] IBA Rules on the Taking of Evidence in International Arbitration (Int'l Bar Ass'n 2020) [hereinafter IBA Rules].
[4] Convention on the Recognition and Enforcement of Foreign Arbitral Awards art. V, June 10, 1958, 21 U.S.T. 2517, 330 U.N.T.S. 38 [hereinafter New York Convention].

The paper proceeds in seven parts. Part II begins by examining how trade secret claims enter arbitration in the first place, tracing the three primary contractual gateways through which misappropriation disputes find themselves in arbitral rather than judicial proceedings. Understanding this threshold question is essential, because the type of contract that brings a dispute into arbitration directly shapes the procedural rules and discovery standards that will govern it. Part III then establishes a litigation baseline, examining what the evidentiary landscape looks like in U.S. court proceedings, including the identification requirement under California Civil Procedure Code section 2019.210, in order to isolate what is genuinely distinctive about arbitration's approach to evidence. Part IV maps the layered rule structure that governs evidence in international arbitration, analyzing how the Federal Arbitration Act, the AAA Employment Rules, the IBA Rules on the Taking of Evidence, and the New York Convention interact and, at times, conflict with one another. Part V draws on vacatur case law to examine how courts have applied these standards in practice, revealing the practical ceiling that judicial deference imposes on claimants seeking to challenge inadequate discovery. Part VI identifies the structural gap that emerges from this analysis, examining where the existing framework leaves trade secret claimants without adequate evidentiary recourse. Part VII builds on this analysis to propose a strategic evidence framework, offering concrete principles for how parties can operate effectively within these constraints rather than against them. Part VIII concludes by situating these findings within the broader context of trade secret protection in technology-intensive industries and identifying questions that warrant further scholarly attention.

II. How Trade Secret Claims Enter Arbitration: Three Contractual Gateways

Before examining the evidentiary challenges that trade secret claimants face in arbitration, it is necessary to understand how such disputes come to be resolved through arbitration in the first place.

Trade secret misappropriation is fundamentally a tort claim, meaning it arises not from a breach of contract but from a wrongful act that causes harm to the trade secret holder[5], much like negligence, fraud, or trespass. As an independent legal claim, misappropriation does not require a contractual relationship to exist. In practice, however, trade secret disputes almost always arise within the context of an existing contractual relationship. It is precisely this contractual backdrop that determines how a misappropriation claim finds its way into arbitration rather than court.

Trade secret disputes reach arbitration through three primary contractual gateways: employment contracts, joint venture agreements, and technology or IP licenses. Of these, employment contracts give rise to the most disputes and warrant the closest examination.

Employees are naturally and lawfully exposed to their employers' core business information as part of their work. Engineers have access to technical specifications, and sales personnel know customer lists and contact details. Leaving an employer does not erase that knowledge, and if a former employee chooses to join a rival company or start a competing business, a trade secret dispute may readily follow.

A distinctive feature of employment contracts is that they are typically drafted unilaterally by the employer, leaving employees little room to negotiate. As a result, arbitration clauses in such contracts tend to be broad in scope, covering "any and all disputes related to your employment," while imposing tight restrictions on discovery, such as limiting it to what is "absolutely necessary for a fair proceeding. " These clauses are designed by company legal

[5] Cal. Civ. Code § 3426.1(d) (defining "trade secret" under the California Uniform Trade Secrets Act); *see also* Defend Trade Secrets Act of 2016, 18 U.S.C. § 1836 (federal analog).

departments to protect the company's interests. Paradoxically, however, these same restrictions can work against the very companies that drafted them. When such a company later finds itself as a claimant in a trade secret dispute, the very discovery restrictions it drafted now stand between it and the evidence it needs to prove its case. The second gateway is the joint venture agreement. Unlike employment contracts, joint venture agreements are negotiated between two companies on relatively equal footing, which means their arbitration clauses tend to be more balanced. However, the nature of joint venture relationships creates its own evidentiary complications. During the course of the collaboration, the parties often share proprietary technology so extensively that the boundaries between what each party originally contributed become difficult to trace. When the relationship breaks down and misappropriation is alleged, establishing precisely what information belonged to whom, and when it was taken, can be extraordinarily difficult to prove.

The third gateway is the technology or IP license agreement. In a licensing relationship, the technology holder grants another party the right to use its proprietary information within a defined scope. When the licensee exceeds that scope, or discloses the technology to a third party, misappropriation occurs. Unlike the other two gateways, the terms of permissible use are typically spelled out in considerable detail in the license agreement itself, which makes the legal boundaries relatively clear. The evidentiary challenge, however, remains significant: proving that the licensee actually exceeded those boundaries requires access to internal usage records, technical documentation, and communications that sit entirely within the opposing party's control, precisely the kind of evidence that arbitration's limited discovery makes difficult to obtain.

The key to understanding why arbitration clauses can capture tort claims lies in how those clauses are written. Arbitration clauses in employment contracts, joint venture agreements, and IP licenses are typically drafted in the broadest possible terms, covering "any and all disputes arising out of or in any way related to" the underlying contractual relationship. Courts interpreting such clauses have consistently adopted a pro-arbitration stance[6], holding that a tort claim falls within the scope of an arbitration clause so long as it bears a sufficient connection to the contractual relationship from which the clause arises. In trade secret cases, that connection is almost always present: the misappropriation occurred precisely because the defendant had access to confidential information through the employment, joint venture, or licensing relationship in the first place. The result is that a claimant who might otherwise prefer the broader discovery tools available in court litigation finds that choice foreclosed by the arbitration clause in the underlying contract. Entering arbitration is not a strategic election but a contractual consequence.

To illustrate how these dynamics play out in practice, this paper employs a running hypothetical that will recur throughout the analysis. Three co-founders, A, B, and C, establish a technology startup. Each signs an employment agreement containing an arbitration clause that incorporates the AAA Employment Rules and further contractually restricts discovery to what is "absolutely necessary for a fair proceeding." Some time later, one of the co-founders departs and establishes a competing company, New-Co. Within months, New-Co launches a product that bears a striking resemblance to Start-Up's core technology. Start-Up suspects that its trade secrets have been misappropriated and seeks to pursue a claim. It quickly discovers, however, that the arbitration clause in the departing co-founder's employment agreement channels the dispute into arbitration, where its ability to obtain the evidence necessary to prove

[6] *See, e.g.*, Moses H. Cone Mem'l Hosp. v. Mercury Constr. Corp., 460 U.S. 1, 24–25 (1983) (establishing federal policy favoring arbitration and broad construction of arbitration clauses).

misappropriation will be sharply constrained. This hypothetical is not merely illustrative. It captures the precise structural tension that this paper seeks to address: a claimant with a plausible misappropriation claim, procedurally confined to a forum that limits its ability to prove that claim. The sections that follow will return to this scenario repeatedly to ground the legal analysis in concrete terms.

III. The Litigation Baseline: Discovery Power and Its Limits

To appreciate what is at stake when a trade secret claimant is confined to arbitration, it is useful to first consider what the evidentiary landscape looks like in court. In U.S. litigation, the scope of discovery is exceptionally broad: parties may request any information relevant to any party's claim or defense and proportional to the needs of the case[7]. The tools available include document requests, depositions, and interrogatories, and courts possess enforcement power to compel compliance and impose sanctions on parties that refuse to cooperate. In a trade secret dispute, this means a plaintiff can demand that the defendant produce internal emails, technical documentation, and research and development records. In a case like Start-Up's, a single internal communication confirming that the departing co-founder shared proprietary information with New-Co could be decisive evidence of misappropriation.

Yet even in litigation, discovery in trade secret cases is not unlimited. Under California Civil Procedure Code section 2019.210, before a plaintiff may commence discovery relating to an alleged trade secret, it must first identify the trade secret with reasonable particularity[8]. The

[7] Fed. R. Civ. P. 26(b)(1) (2015).
[8] Cal. Civ. Proc. Code § 2019.210 (West 2024).

purpose of this requirement is to prevent plaintiffs from using discovery as a fishing expedition[9], compelling defendants to disclose their own confidential information in the hope that something useful turns up. In practice, however, section 2019.210 creates a difficult dilemma for trade secret claimants. To identify the trade secret with sufficient precision, the plaintiff typically needs access to the defendant's internal records to understand how its information was used. But those records are only accessible through discovery, which cannot begin until the identification requirement is satisfied. The claimant must describe what was taken before it can obtain the evidence that would help it do so. Compounding this difficulty, the more precisely a plaintiff describes its trade secret, the more confidential information it must expose to the opposing party at the outset of the proceedings.

This tension between disclosure and secrecy is not unique to litigation. As the sections that follow will demonstrate, it reappears in arbitration in an even more acute form. If Start-Up were litigating its claim against New-Co in court, it would at least have access to the full arsenal of discovery tools described above, subject only to the identification requirement of section 2019.210[10]. Confined to arbitration, however, Start-Up faces a far more constrained evidentiary environment. Understanding why requires a closer examination of the layered rule structure that governs evidence in international arbitration proceedings.

IV. The Layered Rule Structure of Evidence in International Arbitration

The evidentiary framework governing trade secret disputes in international arbitration is not a single set of rules but a series of overlapping layers, each operating at a different level of

[9] *Perlan Therapeutics, Inc. v. Superior Court*, 178 Cal. App. 4th 1333, 1342 (2009) (explaining that section 2019.210 is designed to prevent plaintiffs from using discovery as a fishing expedition to identify a trade secret after the fact).
[10] Cal. Civ. Proc. Code § 2019.210, *supra* note 10.

generality and each leaving substantial discretion to the arbitral tribunal. To understand why trade secret claimants face such significant evidentiary constraints, it is necessary to work through these layers in turn, beginning with the most specific and moving toward the most general.

The first layer, which is also the most immediate constraint on discovery in arbitration is the arbitration clause itself. As illustrated by the hypothetical employment agreement in this paper, parties may contractually restrict discovery to what is "absolutely necessary for a fair proceeding." This threshold is considerably higher than any institutional standard: it does not ask whether evidence is relevant or material, but whether obtaining it is an absolute necessity. In practice, this language gives the arbitral tribunal broad authority to deny discovery requests without any obligation to explain why the requested evidence falls short of that standard. Where such a clause exists, it operates as the primary constraint on the claimant's ability to obtain evidence, and all other layers of the framework must be read against its backdrop.

Below the contractual layer sit two legal floors that cannot be contracted around, one domestic and one international. Under section 10(a)(3) of the Federal Arbitration Act[11], a court may vacate an arbitration award where the arbitrators were guilty of misconduct in refusing to hear evidence pertinent and material to the controversy. At the international level, Article V(1)(b) of the New York Convention[12] provides that recognition and enforcement of an award may be refused if the party against whom it is invoked was unable to present its case. Together, these provisions establish a minimum threshold of procedural fairness that arbitral tribunals must observe. However, as case law makes clear, this threshold is low. Courts have consistently declined to vacate awards on discovery grounds unless the tribunal refused to hear evidence

[11] 9 U.S.C. § 10(a)(3).
[12] New York Convention, *supra* note 4, art. V(1)(b).

entirely, and even then only where the refusal demonstrably affected the fairness of the proceedings. The existence of these floors provides little practical comfort to a trade secret claimant whose discovery requests have been denied.

Sitting between the contractual floor and the broader international framework is the institutional layer supplied by the AAA Employment Rules. Rule 21(a) provides that the arbitrator shall manage any necessary exchange of information, including depositions, interrogatories, and document production, with a view to achieving an efficient and economical resolution while safeguarding each party's opportunity to fairly present its claims and defenses[13]. Rule 21(c) further provides that the arbitrator may require the parties to produce documents reasonably believed to be relevant and material to the outcome of the disputed issues[14]. The governing standard, "relevant and material to the outcome," occupies a middle position in the layered framework: it is narrower than the litigation standard of relevance and proportionality applicable in U.S. court proceedings, but broader than the contractual threshold of what is absolutely necessary for a fair proceeding. Within this standard, the tribunal retains considerable discretion. In a trade secret dispute, that discretion is significant: a tribunal that interprets "relevant and material" narrowly may deny the very document requests that a claimant needs to establish misappropriation.

The most nuanced layer of the framework is supplied by the IBA Rules on the Taking of Evidence in International Arbitration, which are widely adopted in international arbitration proceedings either by express agreement or as a matter of guidance. Two provisions are of particular relevance in trade secret cases, and they pull in opposite directions. Article 3(c)[15]

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[13] AAA Employment Rules, *supra* note 1, R-21(a).
[14] AAA Employment Rules, *supra* note 1, R-21(c).
[15] IBA Rules, *supra* note 3, art. 3(c).

empowers the tribunal to order the production of documents that are relevant to the case and material to its outcome, provided that no valid objection applies. Article 9(2)(e)[16], however, requires the tribunal to exclude from production any document as to which grounds of commercial or technical confidentiality are determined to be compelling. In a trade secret dispute, these two provisions are in direct tension: the claimant invokes Article 3(c) to compel production of the evidence it needs, while the respondent invokes Article 9(2)(e) to shield its internal records behind a confidentiality objection. The resolution of this tension lies entirely within the tribunal's discretion. This discretion is further reinforced by the Restatement of U.S. Law of International Commercial and Investor-State Arbitration[17], which provides that challenges to arbitral awards based on a tribunal's refusal to permit discovery are unlikely to succeed because such procedural decisions are generally within the tribunal's discretion and cannot easily be shown to have affected the fundamental fairness of the proceedings. The cumulative effect of these layers is a framework that provides trade secret claimants with procedural protection in theory but limited evidentiary access in practice.

V. The Practical Ceiling: What the Case Law Reveals

The abstract structure of the layered framework comes into sharper focus when examined against the empirical record of vacatur litigation. A comprehensive study of arbitration vacatur proceedings reveals that challenges based on an arbitral tribunal's alleged refusal to hear evidence are among the least successful grounds for overturning an award. Of twenty-four cases in which vacatur was sought on the ground that the arbitrator refused to hear evidence pertinent and material to the controversy under FAA section 10(a)(3), the award was vacated in only three,

[16] IBA Rules, *supra* note 3, art. 9(2)(e).
[17] Restatement of the U.S. Law of Int'l Commercial & Investor-State Arb. § 4.19(c) (Am. Law Inst. 2023).

representing a success rate of approximately 12.5%[18]. The cases that failed illustrate the breadth of discretion that courts afford to arbitral tribunals in evidentiary matters.

The pattern that emerges from the unsuccessful challenges is telling. Courts have declined to vacate awards where an arbitrator excluded a document that had not been properly exchanged before the hearing, refused to permit a deposition after the discovery cutoff date, declined to hear cumulative testimony on the ground that it was not material, and refused to admit rebuttal evidence[19]. In each of these cases, the court confirmed the award, finding that the arbitrator's evidentiary rulings fell within the permissible bounds of procedural discretion. The lesson is not merely that courts are reluctant to second-guess arbitrators, but that the threshold for what constitutes a deprivation of a fair hearing is extraordinarily high. As one court noted in the context of an award later confirmed on appeal, FAA section 10(a)(3) requires only that an arbitrator hear evidence that is pertinent and material; it does not require the arbitrator to hear all evidence a party wishes to present.

The case of *ARMA S.r.o. v. BAE Systems (Overseas) Ltd.*, 961 F. Supp. 2d 245 (D.D.C. 2013), illustrates this point with particular clarity in the context of a discovery dispute. There, the petitioner sought vacatur on the ground that the tribunal had improperly denied access to confidential documents submitted by the opposing party to a third party, as well as documents related to the termination of certain international representative agreements. The court found no basis to question the tribunal's discovery rulings, reaffirming that parties who submit to arbitration surrender the right to the extensive discovery available in court proceedings. Citing

[18] Con Brewer, *Vacatur of Arbitration Awards*, AAA Program F9 Materials 25–27 (Nov. 7, 2022).
[19] *See B-S Steel of Kan., Inc. v. Tex. Indus., Inc.*, 321 F. Supp. 2d 1214 (D. Kan. 2004); *Landfill & Ecology v. Browning-Ferris*, No. B165359, 2004 WL 1398342 (Cal. Ct. App. June 23, 2004); *Ganguly v. Charles Schwab & Co.*, No. 03 Civ. 6990, 2004 WL 213016 (S.D.N.Y. Feb. 4, 2004); *Roe v. Cargill, Inc.*, 333 F. Supp. 2d 808, 815 (E.D. Pa. 2004).

Shearson/American Express, Inc. v. McMahon[20], the court confirmed that arbitrators possess full authority to determine the relevance of evidence, and that courts are not empowered to second-guess such determinations under the FAA's extremely limited standard of review, even where there is evidence that the arbitrator may have erred.

The narrow band of cases in which vacatur did succeed on evidentiary grounds is equally instructive, precisely because it defines the outer boundary of the tribunal's discretion. Vacatur was granted where a panel refused to permit expert testimony on the applicable standard of care on the ground that the arbitrators considered themselves the relevant experts, a ruling that a court found had eviscerated the claimant's case and amounted to a gross procedural impropriety[21]. Vacatur was also granted where a tribunal refused to admit testimony that was not merely useful but necessary to adjudicate a central factual issue, and where the panel categorically refused to consider any evidence related to a counterclaim. What these cases share is not merely that relevant evidence was excluded, but that its exclusion rendered the proceeding fundamentally incapable of resolving the dispute on its merits.

For a trade secret claimant in the position of Start-Up, the implications of this case law are sobering. A tribunal that denies discovery requests on the ground that the requested documents do not meet the threshold of being relevant and material to the outcome, or that confidentiality concerns are compelling under IBA Rules Article 9(2)(e)[22], is almost certainly acting within the bounds of its discretion. Unless the tribunal refuses to consider any evidence of misappropriation whatsoever, a court is unlikely to intervene. The structural gap in the

[20] *Shearson/Am. Express, Inc. v. McMahon*, 482 U.S. 220, 259 n.18 (1987).
[21] *Bordonaro v. Merrill Lynch, Pierce, Fenner & Smith, Inc.*, 805 N.E.2d 1138 (Ohio Ct. App. 2004); *City of Bridgeport v. Kasper Grp., Inc.*, No. CV030198175, 2004 WL 2039692, at *4 (Conn. Super. Ct. Aug. 17, 2004); *Hague v. Piva*, 61 Mass. App. Ct. 223 (2004).
[22] IBA Rules, *supra* note 3, art. 9(2)(e).

framework is therefore not merely theoretical. It is a practical reality confirmed by decades of judicial deference to arbitral procedure.

VI. The Structural Gap: Where the Framework Falls Short in Practice

The layered framework described in Part IV might suggest that trade secret claimants are adequately protected: there are contractual boundaries, statutory floors, institutional rules, and international standards, all operating in concert. In practice, however, the cumulative effect of these layers is not protection but constraint. The central difficulty is that each layer defers to the one above it, and at every level, the ultimate arbiter of what evidence a claimant may obtain is the arbitral tribunal itself, whose decisions are shielded from meaningful judicial review.

The case law on vacatur illustrates this point with particular clarity. Courts have consistently refused to overturn arbitration awards on the ground that discovery was insufficient, and the pattern of reasoning in those decisions is revealing. In case after case, courts have declined to intervene not because the claimant received adequate discovery, but because the tribunal permitted some discovery, even if far less than what litigation would have provided, and because the claimant's requests suffered from procedural defects such as overbreadth or lack of specificity. In *AT&T Corp. v. Tyco Telecommunications (U.S.) Inc.*[23], the court declined to vacate an award despite the claimant's objections to discovery limitations, noting that the arbitrators had exercised their discretion within the bounds of the applicable rules. Similarly, in *Metallgesellschaft A.G. v. M/V Capitan Constante*[24], the Second Circuit confirmed that arbitrators are not required to follow the evidentiary standards of federal courts, and that

[23] *AT&T Corp. v. Tyco Telecoms. (U.S.) Inc.*, 255 F. Supp. 2d 294 (S.D.N.Y. 2003).
[24] *Metallgesellschaft A.G. v. M/V Capitan Constante*, 790 F.2d 280 (2d Cir. 1986).

departures from those standards do not constitute misconduct within the meaning of the Federal Arbitration Act. The practical implication of this body of case law is stark: a trade secret claimant whose critical discovery requests are denied has no reliable avenue of judicial recourse, provided the tribunal has allowed some minimal exchange of information.

A further obstacle arises from what practitioners have described as the "ugly American" problem: the tendency of U.S.-trained lawyers to approach international arbitration with the same maximalist discovery expectations they bring to domestic litigation. In U.S. court proceedings, broad and front-loaded discovery is not merely permitted but expected. Parties routinely request every email, every internal memorandum, and every draft document that could conceivably bear on the dispute. Transplanting this approach into international arbitration is not only ineffective but counterproductive. Arbitral tribunals operating under the IBA Rules and comparable international standards are accustomed to a far more restrained model of evidence exchange, and a party that demands sweeping discovery is likely to be viewed as acting in bad faith or as misunderstanding the nature of the forum. The result is that the claimant's credibility before the tribunal is undermined at precisely the moment when it most needs the tribunal's cooperation in ordering disclosure from the opposing party.

Taken together, these practical obstacles reveal a structural gap in the existing framework. The problem is not that any single rule is poorly drafted or that any particular tribunal has acted unreasonably. The problem is that the framework as a whole is designed to protect the flexibility and finality of arbitration, not to guarantee evidentiary access to claimants. Judicial deference to arbitral discretion, combined with the cultural mismatch between U.S. litigation expectations and international arbitration norms, leaves trade secret claimants in a position where the evidence necessary to prove their case may be effectively beyond reach. This gap cannot be closed by invoking the existing rules more forcefully. It can only be addressed by adopting a fundamentally different approach to evidence strategy, one that works within the constraints of the framework rather than against them. It is to that approach that this paper now turns.

VII. A Framework for Evidence Strategy in International Arbitration

The analysis in the preceding sections establishes a clear diagnosis: trade secret claimants in international arbitration face a structural evidentiary gap that existing rules neither eliminate nor adequately compensate for. The question that remains is what, within these constraints, a claimant can actually do. This Part proposes a four-part evidence strategy framework designed not to circumvent the limitations of arbitral procedure, but to operate as effectively as possible within them. The framework rests on a single animating principle: in international arbitration, success depends not on asking for the most evidence, but on asking for the right evidence in the right way.

A. Principle One: Upfront and Precise Trade Secret Identification

The first and most important strategic decision a trade secret claimant can make is also the most counterintuitive one: disclose the trade secret clearly and in detail at the outset of the proceedings, before any discovery dispute arises. Many claimants resist this, fearing that early disclosure will expose their most sensitive information to the opposing party. This instinct, while understandable, is strategically mistaken.

Precise upfront identification serves two critical functions. First, as a legal matter, it satisfies the identification requirement that applies both in litigation under California Civil

Procedure Code section 2019.210 and[25], by analogy, in arbitration proceedings where the applicable substantive law imposes a similar obligation. A claimant that fails to identify its trade secret with specificity gives the tribunal a ready basis to deny discovery requests on the ground that it is impossible to assess whether the requested evidence is relevant to the claimed secret. Second, and more importantly, a precise trade secret identification anchors every subsequent evidence request. When a claimant can point to a specific, well-defined trade secret and then demonstrate that a particular document request is targeted at proving that this specific information was taken and used, the tribunal has far less room to characterize the request as speculative, overbroad, or insufficiently connected to the dispute. The identification does not merely describe what was stolen; it becomes the evidentiary spine of the entire case.

In the context of Start-Up's dispute with New-Co, this means that the Statement of Claim should include not a general allegation that proprietary technology was misappropriated, but a detailed description of the specific technical information at issue, the steps taken to maintain its confidentiality, and the precise manner in which New-Co's product reflects that information. Every document request that follows should be traceable back to this description.

B. Principle Two: Memorial-Tethered, Targeted Document Requests

The second principle follows directly from the first. In international arbitration, document requests must be narrow, specific, and explicitly connected to identified factual allegations in the party's written submissions. This is fundamentally different from the approach that prevails in U.S. litigation, where broad categorical requests are standard practice and are expected to be narrowed through objection and negotiation.

[25] Cal. Civ. Proc. Code § 2019.210, *supra* note 10.

Under the IBA Rules, a document request must identify each requested document or a narrow and specific category of documents, explain the relevance and materiality of the requested documents to the outcome of the case, and confirm that the documents are not already in the requesting party's possession.[26] A request for "all documents relating to the development of New-Co's competing product" will almost certainly be rejected as overbroad. A request for "communications between the departing co-founder and New-Co's engineering team during the six months following his departure from Start-Up, specifically concerning the technical specifications described in paragraph twelve of the Statement of Claim" is far more likely to be granted, precisely because it is tied to a specific factual allegation and a specific aspect of the identified trade secret.

This approach requires significantly more preparation than blanket discovery requests, but that preparation is not wasted effort. A well-constructed targeted request is harder to reject on relevance grounds, harder to shield behind a confidentiality objection under IBA Rules Article 9(2)(e)[27], and more likely to produce the specific evidence that actually matters for proving misappropriation.

C. Principle Three: Tiered Access Controls

The third principle addresses the tension between the claimant's need to obtain the opposing party's confidential documents and the respondent's legitimate interest in protecting its own sensitive information. In international arbitration, this tension is typically resolved not by an all-or-nothing approach to disclosure, but by implementing tiered access controls that limit who may review particular categories of documents.

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[26] IBA Rules, *supra* note 3, art. 3(c).
[27] IBA Rules, *supra* note 3, art. 9(2)(e).

A claimant that demands unrestricted access to the opposing party's internal technical records is likely to encounter resistance from both the respondent and the tribunal. A claimant that proactively proposes a confidentiality protocol, under which sensitive documents produced in the arbitration may be reviewed only by outside counsel and independent technical experts, but not by the claimant's own employees or in-house legal team, is far more likely to obtain the tribunal's cooperation. This approach accomplishes two things simultaneously. It reduces the respondent's legitimate objection that disclosure would itself constitute a further misappropriation of its own confidential information, and it signals to the tribunal that the claimant is approaching the evidentiary process in good faith and with an understanding of the confidentiality norms that govern international arbitration.

In Start-Up's case, this might mean proposing at the outset of the proceedings that all technical documents produced by New-Co be subject to an attorneys-eyes-only designation, reviewable only by Start-Up's external litigation counsel and any jointly appointed technical expert. This proposal should be made early, before any discovery dispute arises, so that it shapes the tribunal's procedural order rather than appearing as a reactive concession.

D. Principle Four: Deploying the IBA Rules Proactively

The fourth principle concerns how claimants engage with the IBA Rules themselves. As Part IV demonstrated, the IBA Rules contain provisions that cut in both directions: Article 3(c) [28]empowers the tribunal to order disclosure, while Article 9(2)(e)[29] permits the tribunal to exclude documents on confidentiality grounds. Many claimants treat these provisions defensively, invoking Article 3(c) to request documents and then responding to Article 9(2)(e)

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[28] IBA Rules, *supra* note 3, art. 3(c).
[29] IBA Rules, *supra* note 3, art. 9(2)(e).

objections as they arise. A more effective approach is to anticipate and neutralize confidentiality objections before they are raised.

This means structuring document requests in a way that makes clear, from the outset, why the commercial or technical confidentiality of the requested documents is not compelling in the specific circumstances of the case, or alternatively, why any confidentiality concerns can be adequately addressed through the tiered access protocol described above. It also means being prepared to argue that the respondent's invocation of Article 9(2)(e) is itself an abuse of the confidentiality exception, particularly where the documents sought relate directly to the alleged misappropriation and where the respondent's claimed confidentiality interest is inseparable from the very wrongdoing at issue. A trade secret defendant cannot use the confidentiality of its own internal records as a shield against disclosure of the very evidence that would reveal whether those records contain the claimant's stolen information.

E. Implications for Arbitration Clause Drafting

The strategic framework described above is most effective when it is deployed within a procedural environment that the parties have deliberately shaped in advance. For companies that anticipate trade secret disputes, the most important strategic decision may not be how to conduct evidence strategy in arbitration, but how to draft the arbitration clause that governs it.

Several drafting choices can meaningfully improve a claimant's evidentiary position before any dispute arises. First, the clause should expressly incorporate the IBA Rules on the Taking of Evidence[30], rather than leaving the governing evidentiary framework to the tribunal's discretion. Second, rather than restricting discovery to what is "absolutely necessary for a fair proceeding," the clause should specify that document requests meeting the relevance and

[30] IBA Rules, *supra* note 3.

materiality standard of the applicable institutional rules shall be permitted, subject to appropriate confidentiality protections. Third, the clause might expressly provide that disputes involving alleged misappropriation of trade secrets shall be subject to a minimum evidentiary protocol requiring the production of documents sufficient to identify and trace the use of any allegedly misappropriated information. Clauses of this kind will not eliminate the structural tension identified in this paper, but they can substantially reduce the evidentiary gap that claimants otherwise face.

VIII. Conclusion

Trade secret disputes present international arbitration with a challenge that is structural rather than incidental. The confidentiality that makes arbitration an attractive forum for trade secret holders is the same feature that constrains their ability to obtain the evidence necessary to prove misappropriation. The layered rule framework examined in this paper, spanning contractual discovery limitations, the procedural floors established by the Federal Arbitration Act and the New York Convention[31], the institutional standards of the AAA Employment Rules, and the competing provisions of the IBA Rules on the Taking of Evidence[32], does not resolve this tension. It manages it, imperfectly, by granting arbitral tribunals broad discretion over evidentiary matters while providing claimants with only limited recourse when that discretion is exercised against them. The empirical record of vacatur litigation confirms what the doctrinal analysis suggests: the structural gap is real, it is persistent, and it is not amenable to purely legal solutions.

[31] 9 U.S.C. §§ 1–16, *supra* note 2; New York Convention, *supra* note 4.
[32] IBA Rules, *supra* note 3.

What remains available to claimants is not a legal remedy but a strategic one. The four-part framework proposed in Part VII, anchored in precise trade secret identification, targeted document requests, tiered access controls, and proactive deployment of the IBA Rules, does not close the structural gap. It offers instead a disciplined approach to operating within it. A claimant that enters international arbitration with maximalist discovery expectations is likely to find those expectations frustrated and its credibility before the tribunal diminished. A claimant that enters with a clear-eyed understanding of the evidentiary constraints, a precisely defined trade secret, and a set of carefully calibrated document requests stands a meaningfully better chance of obtaining the evidence it needs.

The deeper implication of this analysis extends beyond litigation strategy. It suggests that the existing framework for trade secret disputes in international arbitration is not well calibrated to the evidentiary demands of misappropriation claims. As trade secrets become increasingly central to economic competition, particularly in technology-intensive industries where the most valuable assets are not products but processes, formulas, and source code, the adequacy of the existing framework will become an increasingly pressing question. Whether the answer lies in the development of specialized evidentiary rules for trade secret arbitration, in the broader adoption of express discovery provisions in arbitration clauses, or in some other institutional innovation, remains an open question. What this paper has attempted to demonstrate is that the question is worth asking, and that the structural tension it reflects is too significant to be addressed by advocacy alone.

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